

THE SESSION · POST-CLOSE READ

Beneath the *Flat Tape*

The three major indexes finished a shade lower, but materials, utilities and energy carried both FCI sleeves higher — Dividend Strategy +0.69%, Growth Portfolio +0.33% — as Brent settled above \$94 and gold advanced to \$4,135.90.

S&P 500 ▼ 0.13%

NASDAQ ▼ 0.55%

DOW ▼ 0.01%

VIX 16.85

BRENT ▲ \$94

DIVIDEND STRATEGY

▼ TRAILED DVY

+0.69%

1-DAY



YTD +17.13% vs DVY +16.67% · SPY +10.20%

GROWTH PORTFOLIO

▲ BEAT IUSG

+0.33%

1-DAY



YTD +17.71% vs IUSG +11.02%

THE SESSION

Wednesday's index prints said almost nothing about what actually happened. The S&P 500 eased -0.13% to 7,499.44, the Dow finished essentially where it started at 52,218.58, and the Nasdaq gave back -0.55%. Beneath that near-stillness, capital moved with real intent: materials added roughly 1.6% and utilities about 1.2% while information technology carried the session's steepest losses, and the Russell 2000 lagged at -0.92%. Both FCI sleeves finished higher against a market that did not. The **Dividend Strategy** gained +0.69%, four basis points behind DVY's +0.73% but 78 ahead of SPY at -0.09%. The **Growth Portfolio** added +0.33% while IUSG slipped -0.19%.

The bid was physical. Brent settled at \$94.07, up better than 3%, after Secretary Rubio said Washington remains open to a settlement while questioning Tehran's seriousness about one; gold advanced 1.46% to \$4,135.90 on the same headlines. Businesses we own on the receiving end of that repricing did the work: **FCX** +3.90% and **AEM** +3.83% led the real-asset complex, with **CNX** +2.94% and **CVX** +1.00% alongside. The power names were the day's other engine — **CEG** +4.84%, **EIX** +2.83%, **VST** +2.72%, **ATO** +1.95% and **NEE** +1.68% — which is what happens when the market keeps discovering that electricity is the binding input to everything it is excited about. **PCAR** +3.85% and **STLD** +2.19% carried the industrial end ahead of PACCAR's July 28 report.

We do not own the index. We own fifty-two businesses — and on a day the index went nowhere, most of them went somewhere.

The other side of the ledger was software and the pre-earnings crowd. **NOW** gave back -6.47% into its own after-close print, continuing a de-rating that has run most of the year; **FTNT** -1.93% and **SOFI** -3.23% moved in sympathy with a high-beta complex that had nothing to trade on but positioning. **TEL** fell -4.18% on a quarter that beat

its own guidance on every line. **NVDA** +2.29% was the notable exception inside a lower technology tape. Alphabet and Tesla reported after the close, and their capital-spending guidance is the number that matters most to the connector, power and merchant-silicon businesses we hold. We will read it with interest. We will not reposition around it.

WINNERS

CEG +4.84%

DIVIDEND

Nuclear and gas generation led a utilities sector up about 1.2%; the AI power-demand thesis kept its bid.

FCX +3.90%

GROWTH

Copper carried materials, the day's strongest sector at roughly +1.6%.

PCAR +3.85%

DIVIDEND

Industrial strength ahead of the July 28 second-quarter report.

AEM +3.83%

GROWTH

Gold rose 1.46% to \$4,135.90 on Middle East headlines and pre-FOMC positioning.

DECLINERS

NOW -6.47%

GROWTH

Sold into its own after-close second-quarter print; the AI-versus-seat-count debate remains unresolved.

HRMY -5.37%

GROWTH

Give-back after Tuesday's sharp advance; no company-specific news on the session.

TEL -4.18%

DIVIDEND

Record quarterly sales of \$5.16B and adjusted EPS of \$2.94, both above guidance — and the shares sold anyway.

CNX +2.94%

GROWTH

Domestic natural gas followed Brent's move to \$94.07.

VST +2.72%

GROWTH

Merchant power advanced with the broader generation complex.

NTR +2.48%

DIVIDEND

Fertilizer prices track energy; the crude move read straight through.

NVDA +2.29%

GROWTH

Held its bid while information technology finished as the weakest sector.

SOFI -3.23%

GROWTH

High-beta consumer finance eased with the Russell 2000 ahead of the July 29 report.

FTNT -1.93%

GROWTH

Moved with a broadly weaker enterprise-software complex.

SYK -1.70%

DIVIDEND

Med-tech gave back ground in an otherwise firm healthcare tape.

HOLDINGS NEWS

TE Connectivity delivered above guidance and the shares fell anyway. Fiscal third-quarter net sales were a record \$5.16 billion, up 14% reported and 12% organically, with GAAP diluted EPS of \$2.55 (+19%) and adjusted EPS of \$2.94 (+22%). Adjusted operating margin held at 22% and quarterly free cash flow reached \$883 million. Management guided the fourth quarter to another quarter of double-digit sales and EPS growth. TEL closed at \$200.28, -4.18%. Operating results and one session's quotation are different things, and only one of them compounds.

Genuine Parts steadied after Tuesday's reaction, +1.05% to \$120.37. Second-quarter sales rose 6% to \$6.5 billion with adjusted EPS of \$2.15 against roughly \$2.10 expected. GPC reaffirmed full-year adjusted EPS of \$7.50-\$8.00 and sales growth of 3%-5.5%, while trimming the GAAP range to \$5.90-\$6.40 to absorb restructuring and separation costs. The split of Global Automotive and Global Industrial remains on track for the first quarter of 2027, and the 2026 dividend of \$4.25 marks the seventieth consecutive year of increases.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+17.13%

vs DVY +16.67% / SPY +10.20%

GROWTH PORTFOLIO

+17.71%

vs IUSG +11.02%